

Trial Transcript Day One: Openings and Contract Proof

October 6, 2025 — morning session

United States District Court for the Western District of North Carolina

Civil Action No. SYN-WDNC-24-CV-0520

CLERK AVERY THORN: All rise. The exercise court is now in session, the Honorable Miriam D. Carver presiding.

THE COURT: Be seated. The jury has been selected and sworn. This is Blue Ember Biologics against Granite Heron Logistics. What you hear in opening will help you understand expected proof, but it is not evidence. Do not decide the case until all evidence and instructions are complete.

The parties agree that written agreements governed a September 2024 frozen shipment and that a designated monitor recorded an out-of-range interval. They disagree about contractual consequence, causation, damages, and mitigation. Scientific terms here describe a fictional development program. You are not being asked to approve a medicine or judge any real company.

MS. HOLT: Blue Ember is ready, Your Honor.

MR. MERCER: Granite Heron is ready.

THE COURT: Counsel may proceed. Keep exhibit references descriptive until the clerk confirms the trial number, and do not display a demonstrative that has not been cleared.

Blue Ember opening statement

MS. HOLT: A promise to carry a validation lot continuously between minus eighty and minus sixty degrees matters because the record of compliance is part of the product's intended use. Granite Heron made that promise in a set of writings it reviewed and signed. Blue Ember tendered the identified lot, the assigned logger, and clear emergency contacts.

You will see the master agreement dated November 1, 2023, a quality protocol from January 2024, an August statement of work, the operative release specification, the purchase order, and the September route confirmation. Different documents serve different functions, but they point to one handling rule. The trailer target was minus seventy, and no excursion window was authorized.

Granite Heron will not deny that it held the shipment. It will not deny the recorded curve. The dispute begins with what that failure did. Dr. Mira Solis will explain why a validation lot needs reliable custody evidence, not merely a later sample that shows some remaining activity.

This is a contract case. Blue Ember does not ask you to punish a carrier or infer every damage from a single number. It asks you to follow the sequence from accepted obligation to rejected intended use and a measured replacement schedule.

MS. HOLT: On September 12, Granite Heron signed for lot BE214-VL-2409A at Solstice Gate Analytics. Its tractor left Greenville at 11:47. During the planned Fletcher stop, the tractor was shut down after a standby cable was inserted but before anyone verified that electricity reached the refrigeration unit.

The CryoTrace monitor crossed the warm boundary at 13:08. The trailer controller was discovered dark later. Refrigeration restarted only after the product had warmed substantially, and the logger recorded minus 42.8 degrees at its highest point. The lot did not return within the specified band until 14:02.

You will hear from Tess Holloway, Granite Heron's own Transport Operations Manager. She will identify the failed power transition, missed telemetry route, and delayed call. You will also hear that the load reached Blue Ember at 15:26, after the warm interval had already occurred inside Granite Heron's operation.

Blue Ember placed the material in quarantine rather than pretending nothing happened. Its quality team reviewed the curve, stability information, limited testing, and the lot's validation purpose. It did not claim every vial was inert. It concluded that the lot could not supply the controlled validation evidence for which it was produced.

MS. HOLT: The financial proof will be divided so you can inspect it. First is 1.35 million dollars already embodied in the rejected lot. Second is 850,000 dollars of incremental replacement work. Third is 2 million dollars tied to a limited delay period. Kellan Brooks will show the sources and the adjustments he made.

Granite Heron raises a separate question about what Blue Ember did after rejection. Cobalt Finch offered a December manufacturing window, but BE-214 had never been run there. Detailed transfer, quality review, analytical responsibility, and readiness work remained. Blue Ember had forty-eight hours to make a commitment and chose the established Aurora Quay path beginning March 3.

You should evaluate that decision from October 4, not with hindsight. Dr. Nia Calder will confirm that Cobalt Finch was capable and that the slot was real. She will also confirm that the offer was conditional, the estimate could change, and success was not guaranteed. A real option can still carry material technical risk.

At the end, the verdict form will ask you for gross damages and any net mitigation deduction separately. Blue Ember trusts you to decide each question without using the later facility dispute to erase the earlier transport facts.

Granite Heron opening statement

MR. MERCER: Granite Heron will not ask you to ignore its staging failure. The refrigeration interruption occurred, and our witnesses will explain it candidly. But an operational deviation is not a blank check. Blue Ember must prove that the contract failure caused each dollar it seeks.

The assay evidence did not show universal destruction. The sealed packaging was intact. Cooling resumed, and the product reached the destination within the delivery window. Blue Ember controlled whether material could serve another purpose, how much work to repeat, which facility to choose, and how to measure a development program whose future remained uncertain.

The contract itself makes those distinctions. It does not promise regulatory approval or scientific success. It requires proof of a natural connection, reasonable certainty, and losses within the parties' contemplation. Declared value is not an automatic award, and a pre-event forecast is not a guarantee.

Listen closely to what the experts assume. Brooks begins with Blue Ember's quality decision and its own forecasts. He organizes numbers, but the assumptions remain for you. Granite Heron will challenge causation and the asserted gross amount even while using those figures conditionally to show the effect of reasonable mitigation.

MR. MERCER: The October offer was not a vague possibility. Cobalt Finch held an actual Durham suite for a December 2 start. It had comparable development experience, a defined transfer sequence, an engineering confirmation, and a readiness gate. Blue Ember's questions were legitimate, but the evidence will show no fatal incompatibility.

The alternative cost was approximately 300,000 dollars beyond an ordinary replacement campaign. Using Blue Ember's own timing framework, the earlier path would have prevented 1.8 million dollars of claimed delay. Subtract the cost, and the net avoidable amount is 1.5 million dollars.

Reasonable mitigation does not require a guarantee. Businesses facing a loss commonly secure scarce capacity and complete diligence in stages. Blue Ember instead surrendered the window and waited for the option it preferred. Preference is not necessarily reasonable when another manageable course can prevent a much larger loss.

You will receive separate questions. Granite Heron asks you to hold Blue Ember to proof on causation and gross damages. If you reach mitigation, apply the evidence to the decision as it existed in early October. An admitted mistake during transport does not relieve the claimant of its own responsibilities afterward.

THE COURT: Thank you. Openings are complete. Plaintiff may call its first witness.

Direct examination of Dr. Mira Solis

MS. HOLT: Blue Ember calls Dr. Mira Solis.

CLERK: Please raise your right hand. Do you swear that your testimony will be truthful?

DR. SOLIS: I do.

Q. State your position during the events.

A. I was Blue Ember's Chief Operating Officer. I coordinated development operations across manufacturing, quality, and external providers, although quality personnel maintained independent disposition responsibility.

Q. What is BE-214?

A. A fictional biologic candidate in development. The material here was a validation lot, meaning we intended to use it to demonstrate that a defined manufacturing process could be performed consistently with controlled conditions and records.

Q. Was it commercial medicine?

A. No. It was not approved or available for patient use.

Q. Why did Blue Ember need transportation?

A. Solstice Gate Analytics completed the lot in Greenville. We needed documented deep-frozen carriage to our Asheville receiving facility before the validation package could proceed.

Q. Who selected Granite Heron?

A. Blue Ember's vendor process selected it based on controlled-transport capability, and I approved the program scope.

Q. I am showing you the master logistics agreement. When was it effective?

A. November 1, 2023.

Q. What did it establish?

A. General ordering, custody, documentation, loss, and claim terms. Later writings supplied the program and route details.

Q. Did it make Granite Heron an insurer of scientific success?

A. No. It made the carrier responsible for transport duties it accepted. Blue Ember retained scientific development risk unrelated to carriage.

Q. How did the documents work together?

A. The master agreement handled general commercial subjects. The quality agreement addressed training, alarm response, data, and deviation work. The statement of work described BE-214 service, and the release specification stated the temperature limit.

Q. Was course of performance allowed to erase a written limit?

A. No. A shipment-specific tolerance needed documentation. There was none for this lot.

MS. HOLT: Your Honor, Blue Ember offers the master agreement.

MR. MERCER: No authenticity objection; other objections are reserved as agreed.

THE COURT: Admitted for the purposes described.

Q. Please identify Quality Agreement QA-BE-GHL-017.

A. Blue Ember and Granite Heron executed it January 15, 2024. It allocated quality and operational responsibilities.

Q. What did Granite Heron own?

A. Carrier training, qualified equipment, custody entries, refrigeration continuity, response routing, prompt escalation, and source-record preservation.

Q. What did Blue Ember own?

A. Specifications, receiving quarantine, scientific assessment, and final disposition.

Q. Could a driver authorize release?

A. No. Nor could a procurement employee change a temperature rule by paying an invoice.

Q. Was a later assay the only disposition input?

A. No. The protocol called for review of duration, magnitude, packaging, stability knowledge, intended use, documentation, and testing.

Q. Did the agreement require automatic destruction after one warning?

A. It required quarantine and assessment. Disposition followed from the full review.

Q. Why is that distinction important?

A. Because neither side should claim the device alone made a scientific decision. The monitor reported temperature; qualified people evaluated consequence.

Q. Were both organizations expected to keep their respective records?

A. Yes. Carrier source data and Blue Ember's disposition record served different but complementary functions.

Q. Turn to Statement of Work SOW-BE214-VAL-04. What date appears?

A. August 19, 2024.

Q. What service did it purchase?

A. A dedicated same-day deep-frozen movement from Solstice Gate Analytics to Blue Ember, including any controlled Fletcher staging and a complete environmental record.

Q. Identify Release Specification BE214-RS-03 Revision 3.

A. It became effective August 1 and applied to the validation lot. It set the acceptable range at minus eighty to minus sixty degrees Celsius.

Q. Was there an allowed fifty-four-minute period above minus sixty?

A. No.

Q. What was the operating target?

A. Minus seventy degrees.

Q. What did purchase order BE-PO-240819-2147 add?

A. It authorized the identified shipment and selected enhanced declared-value protection for 1.35 million dollars of payload.

Q. Did declared value fix damages automatically?

A. No. It addressed cargo protection and corroborated the contemporaneous scale. We still must prove actual loss.

Q. Did the order disclose that the payload was ordinary commodity ice?

A. No. It identified a high-value development validation lot requiring specialized service and documentation.

Q. Could a route document reduce that handling standard without signatures?

A. Not under the integrated agreement.

Q. What is Rate Confirmation RC-240912-087?

A. Granite Heron's September 11 route acceptance for shipment GHL-ASH-091224-087.

Q. Which equipment was assigned?

A. Tractor GH-4821 and trailer TR-7714.

Q. What monitor was listed?

A. CryoTrace CTX-9 serial CTX9-44721.

Q. Was the Fletcher stop excluded from carrier custody?

A. No. It was expressly treated as part of the controlled movement.

Q. What should happen before tractor power was removed?

A. Standby power had to be engaged and refrigeration positively verified.

Q. What was required if an exception appeared?

A. Protect the load, record the observation, contact the quality route, and preserve the source data.

MS. HOLT: I offer the statement of work, specification, purchase order, and route confirmation as the integrated shipment set.

MR. MERCER: Subject to our interpretation positions, no objection to authenticity or receipt.

THE COURT: The documents are admitted. The jury will consider each for its assigned purpose under the final instructions.

Q. Were these writings created after the dispute began?

A. No. Their underlying dates precede the September shipment, even though copies later accompanied pleadings in this case.

Validation purpose and lot preparation

Q. Why could an environmental record affect validation use apart from chemical activity?

A. Validation asks whether defined conditions were followed and documented. A limited sample may retain activity yet leave uncertainty about uniformity and the integrity of a campaign intended to demonstrate control.

Q. Does that mean any paperwork error destroys a lot?

A. No. The quality team evaluates materiality. Here the monitor recorded a significant warm interval, not a missing initial.

Q. What was the lot number?

A. BE214-VL-2409A.

Q. Who produced it?

A. Solstice Gate Analytics at its Greenville facility.

Q. What accompanied it?

A. Certificate COC-BE214-091224, sealed qualified shippers, the custody sheet, and the designated logger.

Q. Was exterior damage recorded at origin?

A. No.

Q. Was the starting temperature within range?

A. Yes according to the agreed records.

Q. Did Blue Ember ask Granite Heron to assess regulatory approval?

A. No. It asked the carrier to maintain a physical condition and report the evidence.

Q. Could the sealed packaging make refrigeration unnecessary?

A. No. The packaging supplied a qualified margin within an actively controlled transport system; it was not designed as indefinite passive storage.

Q. Did Granite Heron know the lot's purpose?

A. Yes. "Validation lot" appears in the statement, purchase order, certificate references, and shipment descriptions.

Q. What did that communicate economically?

A. That failure could require replacement work and affect a timed development sequence. It did not tell the carrier that every remote future event would be charged to it.

Q. Was Aurora Quay already part of planning?

A. It was an established manufacturing relationship and later became the dependable replacement path, with a March 3, 2025 campaign.

Q. Did Blue Ember expect an excursion?

A. No, but the quality agreement created contingency steps because controlled shipments can experience exceptions.

Q. Why list urgent contacts?

A. Early consultation can reduce exposure, direct backup storage, or determine whether to return or continue. Delay limits available choices.

Q. Could recovery within the band remove the duty to report?

A. No. Maximum, duration, cause, and response remain necessary to assess what happened.

Q. Was this testimony prepared from business records?

A. Yes, together with my own involvement in the contracts and later decisions.

Cross-examination of Dr. Solis

MR. MERCER: The specification did not say every excursion causes 4.2 million dollars, did it?

DR. SOLIS: No. It supplied a release criterion, not a damages schedule.

Q. And BE-214 faced scientific risks before September?

A. Yes. Development programs always have risks.

Q. Granite Heron did not promise approval?

A. Correct.

Q. Nor did it select your formulation?

A. Correct.

Q. Blue Ember controlled quality disposition?

A. Yes, based on the accepted transport evidence and product knowledge.

Q. Could your team release an excursion if justified?

A. The protocol allowed a documented scientific decision. For this validation lot, the review did not support release.

Q. So the logger did not compel your signature?

A. It established the exposure. People evaluated its significance.

Q. The sealed vials arrived without cracks?

A. No visible breakage was recorded.

Q. And the trailer was cold again at delivery?

A. Yes, after the earlier out-of-range interval.

Q. Does Blue Ember contend the driver wanted to damage the lot?

A. No. Intent is not our contention. We contend the accepted performance failed and caused a foreseeable quality response.

Q. Confirmatory testing found measurable activity?

A. In tested samples, yes.

Q. You cannot say each vial was chemically destroyed?

A. I do not say that.

Q. Did you perform destructive testing on every vial?

A. No. That would itself consume the lot and would not recreate the custody requirement.

Q. Could some material have been used for nonvalidation research?

A. We considered limited research use, but it did not produce a meaningful credit or restore the planned purpose.

Q. Who made that judgment?

A. Blue Ember quality and program personnel.

Q. Granite Heron was not allowed a vote?

A. It could supply information and question the claim. Product disposition belonged to Blue Ember.

Q. Is there an independent agency decision rejecting the lot?

A. No. This was a company validation decision under the fictional protocol.

Q. You agree the jury must decide whether the carrier-caused event produced the loss?

A. Yes. I am explaining why Blue Ember made its contemporaneous decision.

Q. Did you treat measurable activity as irrelevant?

A. No. It informed the assessment but did not answer validation suitability.

Q. The 1.35 million dollar declared value came from Blue Ember?

A. We selected it and supported it through the project ledger.

Q. It includes internal labor allocations?

A. A limited campaign-specific amount, using our ordinary method.

Q. Some development work would have occurred regardless of transport?

A. Yes, and our damages analysis excludes ordinary forward work where identified.

Q. You are not the retained accounting expert?

A. Correct. Brooks will present the reconciliation.

Q. Did Blue Ember initially include broader management time?

A. A working schedule did. The expert removed unsupported general management amounts.

Q. Did Blue Ember receive insurance replacing the claimed total?

A. No duplicative payment had been received through the pretrial exchange.

Q. Would you credit one if received?

A. Yes, subject to the Court's treatment, because we do not seek recovery twice.

Q. Does the contract distinguish direct from remote loss?

A. It does, and the parties disagree about the delay category's application.

Q. Does a ledger label guarantee that any claimed amount is recoverable?

A. No. Each amount remains subject to proof and the Court's instructions.

Q. The 2 million dollars depends partly on forecasts?

A. It uses plans and contribution assumptions created before the event, with adjustments.

Q. No forecast guaranteed a milestone?

A. Correct.

Q. Technical, financing, and later manufacturing risks remained?

A. Yes. The model accounts for risk and ends at a bounded point.

Q. Did Granite Heron receive the full forecast when it signed in 2023?

A. It received the shipment's validation purpose and timing significance, not every internal spreadsheet.

Q. Could a later unrelated event have delayed BE-214?

A. It could. We have not charged every later movement to this shipment.

Q. Is the claimed delay simply the time until trial?

A. No. It follows the replacement sequence and defined economic consequences.

Q. Who will explain the risk factor?

A. Brooks.

Q. If the jury rejects that assumption, can it lower the amount?

A. Yes. The components and inputs are exposed for evaluation.

Q. Is that why Blue Ember asks for separate verdict lines?

A. Yes. Separate answers allow the jury to accept only the financial propositions it finds adequately supported.

Q. Let us turn to Cobalt Finch. The written offer arrived October 2?

A. Yes.

Q. It identified actual December 2 capacity?

A. Yes, subject to the proposed transfer and readiness process.

Q. Cobalt Finch had biologics experience?

A. It had relevant general experience.

Q. The estimated incremental price was 300,000 dollars?

A. That was the preliminary estimate.

Q. Blue Ember could afford that amount?

A. Cost alone was not the principal objection.

Q. You did not complete an on-site audit before declining?

A. There was not time to complete one within the forty-eight-hour hold.

Q. Cobalt Finch did not refuse a later audit?

A. No. It proposed expedited diligence after commitment.

Q. Blue Ember chose the site it already trusted?

A. We chose the path with established readiness after considering the risk that a rushed second transfer would fail and consume time.

Q. Was the choice made after knowing how Cobalt Finch's campaign would turn out?

A. No. We had to decide before detailed transfer work, an audit, engineering confirmation, or a readiness review occurred.

Q. Did Cobalt Finch promise to preserve the Aurora Quay reservation at no cost?

A. No. Parallel paths would have required additional resources and commercial commitments.

Redirect examination

MS. HOLT: Did Blue Ember ignore Cobalt Finch?

DR. SOLIS: No. Technical, quality, operations, and finance personnel reviewed documents, asked questions, and joined a call with Dr. Calder.

Q. Was the December slot already approved for BE-214?

A. No. Program qualification and change control remained.

Q. Did the offer cap every cost at 300,000 dollars?

A. No. It stated assumptions and could change with scope.

Q. Did the contract require Blue Ember to accept any cheaper or earlier option?

MR. MERCER: Objection, asks for legal interpretation.

THE COURT: Sustained. Ask about the witness's decision.

Q. What factors did you consider?

A. Technical fit, analytical responsibility, materials, audit, schedule, cancellation exposure, staff diversion, probability of a valid campaign, and the established March path.

Q. Did later use of Aurora Quay change Granite Heron's earlier custody obligation?

A. No. The subjects are sequential but distinct.

MS. HOLT: No further questions today.

THE COURT: The witness remains subject to recall. We will take a short recess before the next witness.

Adverse examination of Adrian Locke

MS. HOLT: Blue Ember calls Adrian Locke as Granite Heron's organizational representative.

CLERK: Do you swear the testimony you give will be truthful?

MR. LOCKE: I do.

Q. Did you sign the master agreement for Granite Heron?

A. Yes, as Vice President for Controlled Transportation.

Q. Did you also sign the August statement of work?

A. I did.

Q. Were you provided Revision 3 before the shipment?

A. Yes. Granite Heron acknowledged the temperature band and lack of an excursion tolerance.

Q. Did the carrier accept the Fletcher stop as part of its custody?

A. Yes.

Q. Could Granite Heron silently replace the quality requirement with ordinary tariff language?

A. No. A conspicuous signed change would have been required.

Q. Did the rate confirmation assign GH-4821 and TR-7714?

A. Yes.

Q. Was the validation purpose disclosed?

A. Yes, although Granite Heron disputes what economic consequences were within the contract.

Q. Did you understand prompt notice could give Blue Ember more protective choices?

A. Yes. That is why the quality agreement required active escalation rather than merely storing an alert for later review.

Q. What did Granite Heron promise during a power transition?

A. It would maintain active refrigeration and verify the new source before removing tractor power.

Q. Was a physically inserted but unenergized cable adequate performance?

A. No.

Q. Did the agreement require an active response route?

A. Yes. The intended profile should prompt dispatch action, with local checks as backup.

Q. Did Granite Heron retain power and control at Fletcher?

A. It retained custody and operational control.

Q. Could Blue Ember intervene in bay F-4 before receiving notice?

A. No. It was not present.

Q. Did later recovery rewrite the preceding curve?

A. No. Recovery is a fact relevant to product effect, not erasure.

Q. Does Granite Heron admit every claimed loss?

A. No. We acknowledge the operational failure while disputing causation, amount, contract limits, and mitigation.

Q. Are those disputes why the jury is here?

A. Yes.

Q. Is Granite Heron asking the jury to treat recovery at 14:02 as continuous compliance?

A. No. We accept that the preceding interval fell outside the specification and argue separately about its consequences.

Q. Did any third party take custody during the Fletcher stop?

A. No. Granite Heron remained responsible for the staging operation.

Examination by Granite Heron and adjournment

MR. MERCER: Mr. Locke, did Granite Heron agree that declared value equaled automatic damages?

MR. LOCKE: No. It selected a cargo-protection framework, still subject to proof.

Q. Did the company promise that BE-214 would pass validation?

A. No.

Q. Did it control Blue Ember's September 16 disposition?

A. No. We provided transport information and later questioned the claimed consequence.

Q. Does admitting a failed transition answer whether a December alternative should have been used?

A. No. The transport event and later loss-reduction decision are separate issues.

Q. Will Granite Heron present source records and its own witnesses about the event?

A. Yes. We intend to provide the full chronology rather than minimize it.

MR. MERCER: No further questions at this time.

THE COURT: Members of the jury, we will adjourn for the day. Do not discuss the case or consult outside material. Mr. Locke remains subject to limited recall. Tomorrow's evidence will address the transport chronology and quality-causation dispute. Court is recessed until 9:00 tomorrow morning.